

2-3 An Institution-Based View of Global Business

Shown in [Figure 2.1](#), an institution-based view focuses on the dynamic interaction between institutions and firms, and considers firm behaviors as the outcome of such an interaction. Specifically, firm behaviors are often a reflection of the formal and informal constraints of a particular institutional framework. In short, institutions matter.

Learning Objective 2-2

Articulate the two core propositions underpinning an institution-based view of global business.

Figure 2.1

Institutions, Firms, and Firm Behaviors

How do institutions matter? The institution-based view suggests two core propositions ([Table 2.3](#)). First, managers and firms *rationaly* pursue their interests and make choices within institutional constraints. In Brazil, the infamous *custo Brasil* (Brazil cost) is legendary ([Emerging Markets 2.1](#)). Contributing to the sky-high cost of doing business in Brazil are taxes, which reach 35% of GDP, much higher than Mexico's 18% and China's 16%. Not surprisingly, the gray market in Brazil accounts for a much higher percentage of the economy than in Mexico and China. Likewise, in the United States, the Obama administration's proposal to tax the overseas earnings of US-based multinationals, which are currently exempt from US taxes, met fierce resistance from the business community. Having already paid overseas taxes, US-based multinationals naturally resented having to pay US\$190 billion in extra US taxes, when their global competitors pay lower taxes. "Doesn't the Obama administration recognize that most big US companies are

multinationals that happen to be headquartered in the United States?” asked Duncan Niederauer, CEO of NYSE Euronext in a *BusinessWeek* interview. One case in point is Seagate Technology, a formerly Silicon Valley-based disk-drive maker that incorporated in the Cayman Islands a few years ago. Avoidance of such a financial hit was one of the reasons behind Seagate’s move, and more US-based multinationals are likely to follow Seagate. Both Brazilian firms’ migration to the gray market and US firms’ interest in migrating overseas are rational responses when they pursue their interests within formal institutional constraints in these countries.

Table 2.3

Two Core Propositions of the Institution-Based View

Proposition 1 Managers and firms *rationally* pursue their interests and make choices within the formal and informal constraints in a given institutional framework

Proposition 2 While formal and informal institutions combine to govern firm behavior, in situations where formal constraints are unclear or fail, informal constraints will play a *larger* role in reducing uncertainty and providing constancy to managers and firms

Emerging Markets 2.1

The Brazil Cost

In São Paulo, a cheese pizza costs US\$30. In Rio de Janeiro, a three-star hotel room costs more than US\$200 a night and an iPhone 5s more than US\$1,000 (see [Table 2.4](#)). While these may be extreme examples in two of the largest and most expensive cities, prices in the rest of Brazil are no better. Large domestic appliances and cars cost at least 50% more than in most other countries. While first-time visitors to Brazil are often shocked by the high price of everything, locals are used to it. They simply call it the *custo Brasil* (Brazil cost)—the exorbitant cost of living and doing business in Brazil.

Table 2.4

The Cost of a 16GB Apple iPhone 5s in the Americas (US\$)

Argentina	Brazil	Chile	Colombia	Mexico	Peru	United States
\$1,014	\$1,076	\$842	\$750	\$798	\$1,039	\$700

Source: Extracted from data from *Economist*, 2014, *One phone, many countries*, March 8: 39.

The Brazil cost is jacked up by high taxes and rising wages. Government tax revenues at all levels reach 35% of GDP, which is much higher than Mexico's 18% and China's 16%. At 58% of salary, payroll taxes scare away a lot of would-be entrepreneurs and job takers. As a result, the informal economy is thriving, which puts even more pressures on individuals with formal jobs and taxable wages. Consumption is also heavily taxed. While sky-high import tariffs and taxes can explain why a made-in-China Apple iPhone 5s costs nearly US\$1,100, it is harder to believe that a made-in-Brazil car costs up to 45% *more* in Brazil itself than in Mexico.

In the decade after 2003, labor costs doubled, while inflation "only" grew 67%. Top-notch office rents in Rio are now the most expensive in the Americas, north or south. Brazilian top executives are among the world's highest paid. Executives at subsidiaries of Western multinationals often command a salary higher than what their bosses in New York or London make. Manpower, a leading global employment agency, has complained that Brazil is the second hardest place for firms to fill high-level jobs, behind only aging Japan. Overall, operating costs in Brazil are now higher than in many developed economies. One expert noted:

If you were to take a factory by helicopters from Germany to Brazil, your costs would jump 48% as soon as you touched down. Those of us producing in Brazil are doomed to be uncompetitive.

The government does want to help by protecting uncompetitive industries. In this respect, President Dilma Rousseff has not deviated from her days as a graduate student studying developmental economics with some of Brazil's most left-wing professors. Since taking power in 2011, she has imposed tariffs on shoes, textiles, chemicals, and even Barbie dolls. Brazil also threatens to tear up an agreement with Mexico that allows free trade in cars, because Brazil—thanks to its uncompetitive automobile industry—suffers from an embarrassing trade deficit in cars.

Individuals and firms cope with a variety of strategies. A lot of Brazilian firms hide in the informal sector. Many foreign firms simply shy away. Individuals, to the extent they can, shop overseas. Brazilian tourists spent a record US\$22 billion abroad in 2014. So many of them flock the malls and outlets in Miami that Portuguese-speaking staff are often hired to cater to such customers. TAM, a Brazilian airline, reports that the home-bound legs of its Miami–São Paulo and Miami–Rio flights

burn much more fuel compared with the Miami-bound leg, because of the extraordinary amount of excess baggage that its passengers haul back home.

Sources: Based on (1) the author's interviews; (2) *Bloomberg Businessweek*, 2012, *Look who's bringing up the rear*, March 26: 9–10; (3) *Economist*, 2012, *Two ways to make a car*, March 10: 48–49; (4) *Economist*, 2013, *The price is wrong*, September 28 (special report): 5; (5) *Economist*, 2014, *One phone, many countries*, March 8: 39–40.

Obviously, nobody has perfect rationality—possessing all the knowledge under all circumstances. Proposition 1 specifically concerns

bounded rationality (The necessity of making rational decisions in the absence of complete information.)

, which refers to the necessity of making rational decisions in the absence of complete information. Without prior experience, many managers from emerging multinationals getting their feet wet overseas, and numerous individuals getting involved in counterfeiting do not know exactly what they are getting into. So, emerging multinationals often burn cash overseas, and counterfeiters sometimes land in jail, which are indicative of their *bounded* rationality.

The second proposition is that while formal and informal institutions combine to govern individual and firm behavior, in situations where formal constraints are unclear or fail, informal constraints play a *larger* role in reducing uncertainty and providing constancy to managers and firms. For example, in Kinshasa (population ten million people), capital of the Democratic Republic of Congo (formerly Zaire), “where metrics like per capita nutrition levels and water quality would suggest a near-death state of being,” the city is “all too alive.” “This is a city of frenzied entrepreneurship, where everyone is a salesman of whatever merchandise comes along.” Outsiders who are used to a functioning state with market-supporting formal institutions are likely to view the city as total chaos—“a marvel of dysfunction,” according to a Western reporter. “For me,” according to an entrepreneur, “it is not chaos at all. We’ve developed an informal system. And within this informal system, there’s an organization.”

What govern market transactions in a city such as Kinshasa, Democratic Republic of the Congo?

Pascal Maitre/National Geographic Creative

Many observers have the impression that relying on informal connections is only relevant to firms in emerging economies and that firms in developed economies only pursue “market-based” strategies. This is far from the truth. Even in developed economies, formal rules only make up a small (although important) part of institutional constraints, and informal constraints are pervasive. Just as firms compete in product markets, they also fiercely compete in the political marketplace, characterized by informal relationships. Basically, if a firm cannot be a market leader, it may still beat the competition on another ground—namely, the nonmarket, political environment. In September 2008, a rapidly falling Merrill Lynch was able to sell itself to Bank of America for a hefty US\$50 billion. Supported by US government officials, this mega deal was arranged over 48 hours (shorter than the time most people take to buy a car), and the negotiations took place *inside* the Federal Reserve building in New York. In contrast, Lehman Brothers failed to secure government support and had to drop dead by filing for bankruptcy. Overall, the skillful use of a country’s institutional frameworks to acquire advantage is at the heart of the institution-based view (see [Figure 2.2](#)).

Figure 2.2

Bank of America CEO Brian Moynihan (left) and Goldman Sachs CEO Lloyd Blankfein (right) Walk Out of a Happy Meeting at the White House

AP Images/Charles Dharapak Source: *Bloomberg Businessweek*, 2013, CEOs can't get enough of the capital, October 20.

While there are numerous formal and informal institutions, in this chapter we focus on *formal* institutions (informal institutions will be covered in [Chapter 3](#)). Chief among formal institutions are

- (1) political systems,
- (2) legal systems, and
- (3) economic systems.

Each is briefly introduced next.

Chapter 2: Understanding Formal Institutions: Politics, Laws, and Economics: 2-3 An Institution-Based View of Global Business

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